4.2 Productivity and Growth

Video: Productivity and Growth (Crash Course Economics)

Measuring a Country's Wealth

India's GDP is over six times larger than Singapore's, but India has 240 times more people. So economists look at _____: GDP divided by the country's population.

GDP per capita represents _____. A country with a high GDP per capita is considered rich.

The United Nations' _____ (HDI) measures life expectancy, literacy, education, and quality of life.

Economists often use GDP per capita to measure a country's _____.

Is It Resources or Government?

Country	Natural Resources	Result
Singapore / Switzerland	Few (a tiny island; cows)	High GDP per capita and HDI
Zimbabwe	Fertile soil, coal, rare minerals	Poor; an _____ government keeps it poor

U.S. GDP per capita today is about 8 times higher than a hundred years ago.

The Bakery Example

If each worker makes a dozen donuts an hour at $1 each, the owner cannot pay more than $12 an hour. If each worker makes four dozen, he can pay $20. The more each worker can _____, the more each can earn.

Economists argue the main reason some countries are rich is _____: the ability to produce more output, per worker, per hour.

Limitation: U.S. GDP per capita has risen for decades, but median family incomes have not changed much. This relates to income _____.

Factors of Production

Factor	What It Includes
	All natural resources
	Workers

	Machines, factories, and _____
	Workers' education, knowledge, and skills

Economists call organizational effectiveness _____: good ideas about how to combine the labor and capital you already have.

More capital has a cost and wears out, but technology takes the same amount of resources and organizes them to produce more output.

Connectivity and Growth

Starting about 1995, U.S. productivity boomed, led by computer technology, once the _____ let computers talk to each other. _____ equals productivity.

Small productivity gains every year, _____ over decades, created the big gap in living standards between the U.S. and many developing countries.

The one-word answer to why some countries are more successful: _____.

Think About It

School builds your human capital. Name one skill you are building now that could make you more productive in a future job, and explain how. _____